Type MS · Lean production: JIT, Kaizen and using resources well

Answer 1 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 02 · extract 1 of 6 · find part c in this mark scheme extract

2 (a)	**AO2 - 1 mark** Award 1 mark for a reason why *Starbucks* should have good communication with its customers. • By communicating with customers, they are likely to return to buy more sandwiches from *Starbucks* **(1)** • Having good communication with customers encourages them to return to the shop so that a customer orders coffee and cake is understood and accurately delivered **(1)** **NB** Do not accept a reason that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Q. No.	State **one** way *Starbucks* could follow health and safety legislation. **Answer**	**Mark**
2 (b)	**AO2 - 1 mark** Award 1 mark for a valid way *Starbucks* could follow health and safety legislation in the context of the business • Employees must ensure that when they are serving customers with biscuits they are handled with tongs or gloved hands **(1)** • Employees need to following the rules and regulations when using the coffee machines to avoid hot water and steam that could burn their hands **(1)** **NB** Do not accept a way that is not in the context of *Starbucks*. Accept any appropriate response.	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 1 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part c in this mark scheme extract

Q. No.	Explain **one** reason why many manufacturing businesses use just-in-time (JIT). **Answer**	Mark
2 (c)	**A01 - 3 marks** Award 1 mark for identification of a reason why many manufacturing business use just-in-time (JIT), plus 2 further marks for explaining the reason, for a maximum of 3 marks. • JIT reduces the amount of inventory held by a business **(1)** reducing the costs associated with over ordering of inventory **(1)** meaning overall costs for a business may be reduced **(1)** • JIT reduces the amount of out-of-date or damaged stock **(1)** reducing the amount of storage space required for inventory **(1)** and this can then be used for other business activities **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Q. No.	Explain **one** reason why it is important that businesses pay their suppliers on time. **Answer**	Mark
2 (d)	**A01 - 3 marks** Award 1 mark for identification of one reason why it is important for a business of paying its suppliers on time, plus 2 further marks for explaining the reason for a maximum of 3 marks. • Paying suppliers on time establishes a good relationship with suppliers **(1)** and if a business needs goods urgently from them **(1)** they would be more likely to help them knowing they would be paid on time **(1)** • Paying on time, gives the business better negotiating powers with the supplier **(1)** so that if the supplier trusts them they may negotiate better prices **(1)** thus keeping its costs down **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get a 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 1 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part c in this mark scheme extract

Q. No.	Explain **one** effect on a business if interest rates are decreased. **Answer**	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification of an effect on a business if the interest rates are decreased, plus 2 further marks for explaining the importance, for a maximum of 3 marks. • A decrease in interest rates reduces the cost of borrowing for a business **(1)** making it cheaper to finance new projects/expansion **(1)** improving the profitability of the business **(1)** • This could increase sales income for a business **(1)** because consumers may have more money to spend **(1)** on additional items they might want, which the business sells **(1)** **NB** No marks are awarded for a definition. Answers that list three effects with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 1 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part c in this mark scheme extract

Q. No.	**Option 1:** financial methods **Option 2:** non-financial methods. Justify which **one** of these two methods *Starbucks* should choose. **Indicative content**	Mark
2 (f)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – By offering financial methods to its employees, such as bonus payments if the coffee shop increases its sales • **Option 2** – If *Starbucks* could offer its employee's non-financial benefits such as job enrichment within the coffee shop, so employees can gain more skills and knowledge of the business **AO3** • **Option 1** – Employees recognise that they are being financially rewarded for working hard and enjoy the extra income and this may encourage them to stay with the business • **Option 2** – Employees will gain new skills and knowledge and feel valued by *Starbucks,* which may help them gain promotion such as becoming an assistant manager and they will feel more loyal to Starbucks **AO4** • **Option 1** – However, not all employees are interested in bonus payments, as many employees are more interested in a good work-life balance and more concerned with non-financial incentives • **Option 2** – However, not all employees are motivated by non-financial methods of motivation, they may prefer having additional funds added to their pay slip so that they can pay their bills	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 1 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 1 of 14 · Question 2 part c · 3 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part c in this mark scheme extract

Q. No.	Define the term **crowdfunding**. **Answer**	Mark

1 (a) (i)	**AO1 - 1 mark** **1 (a) (i) The only correct answer is C** **A** is not correct because primary is extracting raw materials **B** is not correct as secondary is the manufacturing of the goods **D** is not correct as quarternary is not a section in retail under this word	**(1)**

Question Number	Which **one** of the following would be used to select a group of applicants for interview? Answer	Mark
1 (a) (ii)	**AO1 - 1 mark** **1 (a) (ii) The only correct answer is B** **A** is not correct because training as this is carried out once the applicant has obtained the job **C** is not correct because marketing it is not involved in interviewing **D** is not correct because advertising is not involved in interviewing	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 2 of 14 · Question 1 part a.iv · 1 mark

2021 JUN · Paper 02 · extract 2 of 7 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following would *NEXT* pay in £ (GBP) to the Turkish manufacturer for the 5,000 dresses? Answer	Mark
1 (a) (iii)	**AO2 - 1 mark** **1 (a) (iii) The only correct answer is D** **A** is not correct 5 101 is 5000 + 101.10 **B** is not correct 5 674 is 5000 + (100 x 6.74) **C** is not correct 33 700 is 5000 x 6.74	**(1)**

Question Number	Which **one** of the following describes Kaizen? Answer	Mark
1 (a) (iv)	**AO1 - 1 mark** **1 (a) (iv) The only correct answer is D** **A** is not correct as skilled manufacturing is making the product **B** is not correct as JIT is the arrival of materials in time for manufacture **C** is not correct as market orientated is not related to production	**(1)**

Question Number	What is the percentage increase, to two decimal places, of online customers from 2017 to 2018? Answer	Mark
1 (a) (v)	**AO2 - 1 mark** **1 (a) (v) The only correct answer is C 4.26%** **A** is not correct 2.00% is (4.9 – 4.7) x 10 **B** is not correct 4.08% is 4.9 + 4.7 = 9.6 x 4.26/ 10 **D** is not correct 4.70% is 4.7 million as a percentage	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 2 of 14 · Question 1 part a.iv · 1 mark

2021 JUN · Paper 02 · extract 3 of 7 · find part a.iv in this mark scheme extract

Question Number	Which **one** of the following is a benefit of buying a franchise? Answer	Mark
1 (a) (vi)	**AO1 - 1 mark** **1 (a) (vi) The only correct answer is A** **B** is not correct as franchisee pay the same rate of VAT **C** is not correct as the franchisor does not pay the franchisee to set up **D** is not correct as a franchisee does not make his/her own decisions	**(1)**

Question Number	Define the term **delegation**. Answer	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of delegation. • The passing of responsibility to a subordinate **(1)**	**(1)**

Question Number	Define the term **venture capital**. Answer	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of venture capital. • Venture capital is a type of risk capital available to start-up businesses **(1)**	**(1)**

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Answer 2 of 14 · Question 1 part a.iv · 1 mark

2021 JUN · Paper 02 · extract 4 of 7 · find part a.iv in this mark scheme extract

Question Number	State **one** reason why *NEXT* might use cost plus pricing. Answer	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of using cost plus pricing in the context of the business. • *NEXT* may use this method as the mark up can be different in the 70 countries it operates/sells in **(1)** • *NEXT* may use cost plus pricing to ensure that a profit is made on each dress sold **(1)** **Accept any other appropriate response.**	**(1)**

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Answer 2 of 14 · Question 1 part a.iv · 1 mark

2021 JUN · Paper 02 · extract 5 of 7 · find part a.iv in this mark scheme extract

Question Number	Calculate the predicted sales for next year. Answer	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 727 000 000 x 1.032 **(1)** = 750 264 000 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Question Number	Explain **one** disadvantage for a business that does not achieve its predicted growth. Answer	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a disadvantage for a business that does not achieve its predicted growth, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Shareholders may not be very happy **(1)** because if the business does not reach its predicted growth they may not receive dividends **(1)** and this may mean that they invest in other businesses **(1)** • If the business does not achieve its predicted growth it may not be able to expand **(1)** this means that it may lose some market share **(1)** as customers could go elsewhere **(1)** NB Answers that list three disadvantages with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 2 of 14 · Question 1 part a.iv · 1 mark

2021 JUN · Paper 02 · extract 6 of 7 · find part a.iv in this mark scheme extract

Question Number	Analyse the benefits to *NEXT* of training all its employees. Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If *NEXT* trained all its employees, then they are trained in a consistent fashion so that they can operate in the same way across 70 countries • Employees attending these training sessions will gain customer service skills they can use in *NEXT* shops **AO3** • This means that all employees work to the same standards set by *NEXT* • These new customer service skills allow employees to improve their sales techniques and this could lead to increased sales for *NEXT*	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

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Answer 2 of 14 · Question 1 part a.iv · 1 mark

2021 JUN · Paper 02 · extract 7 of 7 · find part a.iv in this mark scheme extract

Question Number	State **one** reason why *NEXT* would want to promote its own employees. Answer	Mark

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 1 of 7 · find part d in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is B – The lowest amount a business can legally pay its employees** **A –** Fixed amount per year and paid monthly – this is not the correct answer as it is a salary **C** – Payment made to an employee for working additional hours – this is not the correct answer as it is overtime **D** – Payment made to an employee for reaching a target – this is not the correct answer as it is a bonus	**(1)**

Question Number	Which **one** of the following describes the cash cow category in the Boston matrix? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is C – Low market growth, high market share** **A –** High market growth, high market share – this is not correct as it is the star category **B –** High market growth, low market share - this is not correct as it is the question mark category **D –** Low market growth, low market share - this is not correct as it is the dog category	**(1)**

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following would give a business a negative cash flow? **Answer**	Mark
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is D – Cash outflow is greater than cash inflow** **A** – Cash inflow is greater than cash outflow – this is not correct as it would give the business positive cash flow **B** – Costs are greater than profits – this is not correct as it would give the business a loss **C** – Profits are greater than costs – this is not correct as it would give the business profit	**(1)**

Question Number	Which **one** of the following is a recruitment document that outlines the tasks and responsibilities of a job? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is A – Job description** **B –** Person specification - this is not correct as it is a document outlining person attributes **C –** Application form – this is not correct as it is a form potential employees fill in **D –** Curriculum vitae – this is not correct as it is a document outlining the skills, experiences and qualifications of the potential employee	**(1)**

Question Number	Which **one** of the following is the total cost, in euros, of buying a four week supply of wrapping paper? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** **The only correct answer is C – €317.40** **A –** €79.35 – this is not the correct answer as it is the cost of 150 metres of wrapping paper for a week **B –** €276.00 – this is not the correct answer as it is 4 weeks of wrapping paper in pounds **D –** €396.75 – this is not the correct answer as it is 5 weeks of wrapping paper in euros	**(1)**

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Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Which **one** of the following is the markup for a selection of traditional flowers? **Answer**	Mark
1 (a) (vi)	**AO2 - 1 mark** **The only correct answer is A – 54.76%** **B –** 64.62% – this is not the correct answer as it is 42/65 x100 **C –** 182.61% – this is not the correct answer as it is 42/23 x100 **D –** 282.61% – this is not the correct answer as it is 65/23 x100	**(1)**

Question Number	Define the term **economies of scale.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **economies of scale.** • A fall in average costs as output increases **(1)**	**(1)**

Question Number	Define the term **stakeholder.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **stakeholder**. • Individuals or groups with an interest in the operation of a business **(1)**	**(1)**

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 4 of 7 · find part d in this mark scheme extract

Question Number	State **one** benefit to *Aude Rose* of using just-in-time (JIT) production. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a benefit to *Aude Rose* of using just-in-time production in the context of the business. • *Aude Rose* will have less waste as the flowers will be fresh when delivered to the Paris shop **(1)** **NB** Do not accept a benefit that is not in the context of *Aude Rose*. **Accept any other appropriate response.**	**(1)**

Question Number	Calculate how many bunches of flowers will *Aude Rose* have to sell to break-even. **Answer**	**Additional guidance**	**Mark**
1 (e)	**A02 - 2 marks** 50 000/(50 – 10) **(1)** = 1 250 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

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Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 5 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why a business might fail. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for identification of a reason why a business might fail, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • A lack of finance **(1)** from poor cashflow can lead to its failure **(1)** leading to an issue of paying for inventory to sell on to customers **(1)** **NB** Answers that list three reasons with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

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Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 6 of 7 · find part d in this mark scheme extract

Question Number	Analyse the importance to Aude Anglaret of motivating her employees. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • If the florists are motivated, they could produce more bunches of flowers for sale to customers • The florists are more likely to stay in the flower shop if they are paid more **AO3** • Increased productivity could lead to greater outputs and more sales • Employees who stay will reduce the cost of recruitment and training of new employees	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

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Answer 3 of 14 · Question 1 part d · 1 mark

2023 JUN · Paper 01 (regional R) · extract 7 of 7 · find part d in this mark scheme extract

Question Number	State **one** fringe benefit *Aude Rose* could offer its employees. **Answer**	**Mark**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 4 of 14 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 (regional R) · extract 1 of 6 · find part a.i in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** **The only correct answer is A –** Continuous improvement **B** – is not the correct answer as just-in-time (JIT) is the arrival of supplies when needed **C** – is not the correct answer as market orientation is not manufacturing **D** – is not the correct answer as job production is where employees make one unit at a time	**(1)**

Q. No.	Which **one** of the following function areas would pay its employees' wages? **Answer**	**Mark**
1 (a) (ii)	**AO1 - 1 mark** **The only correct answer is A** - Finance **B** – is not the correct answer as Human resources deals with recruitment **C** – is not the correct answer as Marketing deals with the promotion of the product **D** – is not the correct answer as Production deals with the manufacture of goods	**(1)**

Q. No.	Which **one** of the following is the price of the shoes in pounds? **Answer**	**Mark**
1 (a) (iii)	**AO1 - 1 mark** **The only correct answer is B** – £594.54 **A** – is not the correct answer as £565.00 is 5.65 x 100 **C** – is not the correct answer as £3 353.48 is 3 359.13 – 5.65 **D** - is not the correct answer as £18 979.08 is 3 359.13 x 5.65	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 4 of 14 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a.i in this mark scheme extract

Q. No.	Which **one** of the following is a benefit of being a sole trader? **Answer**	Mark
1 (a) (iv)	**AO1 - 1 mark** **The only correct answer is C** – Independence for the owner **A –** is not the correct answer as it is not easy for a sole trader to raise additional capital **B** – is not the correct answer as decisions are not shared **D** – is not the correct answer as sole traders do not have limited liability	**(1)**

Q. No.	Which **one** of the following is the closing balance for the business? **Answer**	Mark
1 (a) (v)	**AO1 - 1 mark** **The only correct answer is B** – £48 000 **A** – is not the correct answer as £44 000 is cash inflow plus cash outflow **C** – is not the correct answer as £55 000 is opening balance plus cash outflow **D** – is not the correct answer as £65 000 is opening balance plus cash inflow	**(1)**

Q. No.	Which **one** of the following is an advantage of primary market research? **Answer**	Mark
1 (a) (vi)	**AO1 - 1 mark** **The only correct answer is D** It is a more up to date method of research **A** – is not the correct answer as it is more expensive due to being tailor-made to the business **B** – is not the correct answer as primary research takes more time due to carrying out surveys **C** – is not the correct answer as primary market research is not always done by market research agencies	**(1)**

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Answer 4 of 14 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a.i in this mark scheme extract

Q. No.	Define the term **e-newsletter**. **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **e-newsletter.** • Information sent electronically by a business to its customers **(1)**	**(1)**

Q. No.	Define the term **minimum wage.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **minimum wage.** • The lowest legal hourly wage rate that can be paid to workers **(1)**	**(1)**

Q. No.	State **one** reason why *Jimmy Choo* would want loyal customers. **Answer**	Mark
1 (d)	**AO2 - 1 mark** Award 1 mark for a valid reason why *Jimmy* Choo would want loyal customers in the context of the business. • If *Jimmy Choo* designs and manufactures handbags then existing customers are more likely to return to buy more handbags **(1)** • Loyal customers are more likely to return to buy new shoes **(1)** **NB** Do not accept a reason that is not in the context of *Jimmy Choo.* **Accept any other appropriate response.**	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 4 of 14 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a.i in this mark scheme extract

Q. No.	Calculate, the predicted value of recycled plastic for 2027. You are advised to show your working. **Answer**	**Additional Guidance**	**Mark**
1 (e)	**A02 - 2 marks** 41.73 x 0.066 = 2.75 **(1)** 41.73 + 2.75 = 44.48 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct answer with no working.	**(2)**

Q. No.	Explain **one** reason why businesses comply with equal opportunities legislation. **Answer**	**Mark**
1 (f)	**A01 - 3 marks** Award 1 mark for a valid reason why businesses comply with equal opportunities legislation, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Businesses comply with the law as it is a legal requirement. **(1)** They cannot discriminate against a person because of gender/race/age. **(1)** The business could be taken to court and sued if they do not comply **(1)** • If the business is not compliant with legislation **(1)** then employers **(1)** are liable to be sued **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons with no explanation will get 1 mark only. Accept any appropriate response.	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 4 of 14 · Question 1 part a.i · 1 mark

2024 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a.i in this mark scheme extract

Q. No.	Analyse **two** problems for *Jimmy Choo* if customer needs are not satisfied. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Customers may be disappointed with their shoes and will go elsewhere to buy their next pair • Revenue may fall if a new perfume does not meet the standard that customer need and want **AO3** • This could have a large impact on *Jimmy Choo*'s sales and profits • This could incur a loss of revenue and may impact further upon *Jimmy Choo*'s expansion plans	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Answer 4 of 14 · Question 1 part a.i · 1 mark

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Q. No.	State **one** non-financial objective *Jimmy Choo* might have. **Answer**	Mark

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 5 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 1 of 5 · find part a in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **just-in-time (JIT)**. • Produces goods/receives inventory when needed reducing the need to hold inventory	**(1)**

Q. No.	Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Rabanne* uses different methods to advertise job vacancies plus 1 further mark for linking it to the context of the business. • *Rabanne* could advertise to a larger audience **(1)** giving them access to a wider pool of skills designers/dress makers **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate to **two** decimal places, the percentage decrease in current assets. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** = 30.20 **(2)** **OR** 5 952 – 8 527 = -2 575 **(1)** -2 527/8 527 x 100 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 5 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 5 · find part a in this mark scheme extract

Q. No.	Analyse the importance for *Rabanne* of using its resources effectively. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By *Rabanne* using its resources effectively by not wasting packaging material for its handbags/accessories • By *Rabanna* developing higher quality packaging for its fragrances/perfumes **AO3** • It not only saves them money but also makes them more environmentally friendly • Would reduce the number of damaged bottles of fragrances that need to be replaced , thus reducing costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 5 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 5 · find part a in this mark scheme extract

Q. No.	**Option 1:** increasing the number of product trials **Option 2:** increasing advertising. Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Rabanne* introduces a variety of aftershaves for men to test and state their opinions • **Option 2** – Increasing the advertising of a new perfume for women means it could reach a much wider customer base throughout the world **AO3** • **Option 1** – Amendments can be made to the product before going into full production • **Option 2** – This could encourage more women to buy the perfume **AO4** • **Option 1** – However, because product trials are based in a limited location, the results may not be representative of all locations in all countries • **Option 2** – However, if they cannot find the perfume in a shop, then they will not be able to purchase it	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 5 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 5 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 5 of 14 · Question 3 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 5 · find part a in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the commission a sales assistant would earn if they have sold goods valued at £850. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**

2 (a)	**A02 = 1 mark** Award 1 mark for a valid primary research method in the context of the business. • Questionnaire for each person taking part in a cookery class (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid drawback of poor customer service in the context of the business. • Damage to *Loaf*'s brand leading to less people joining the cookery classes/buying bakery products (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for identification of a benefit to a business of using e-newsletters, plus 2 further marks for explaining this benefit for a business, for a maximum of 3 marks. • It can target its existing customers (1). This allows it to introduce new products (1) and this can encourage more sales (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 6 of 14 · Question 2 part e · 3 marks

2020 NOV · Paper 01 (regional R) · extract 2 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for identification of a responsibility of the human resources function, plus 2 further marks for explaining this responsibility, for a maximum of 3 marks. • A responsibility is recruitment (1) whereby the human resources function creates recruitment documents and carries out interviews (1) allowing the business to hire the right person for the job (1). **NB** Answers that list three responsibilities with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for the identification of a way in which the JIT (just in time) method of stock control might benefit a business, plus 2 further marks for explaining that way, for a maximum of 3 marks. • JIT stock control method could reduce the space needed to hold buffer stock (1) leading to a reduction in storage costs (1) and allow the business to have stock as and when needed (1). NB Answers that list three ways with no explanation of how the JIT method of stock control might benefit a business will get a maximum of 1 mark. No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 6 of 14 · Question 2 part e · 3 marks

2020 NOV · Paper 01 (regional R) · extract 3 of 5 · find part e in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By offering food to passing trade they could entice them into the bakery. • Option 2 – The charity shops that *Loaf* works with could display the posters for free. **AO3** • Option 1 – They could use this as an opportunity to talk to people about what they do and how they help the local community therefore encouraging them to buy from the bakery or sign up for a cooking class. • Option 2 – It can be considered long-term, as posters stay up for some time and people visiting the charity shops may be enticed into visiting *Loaf,* which is nearby. **AO4** • Option 1 – However, by having someone outside giving out the samples means that the person is not working in the bakery selling goods, which could be considered a waste of time, and they are also giving out free food, which can be expensive. • Option 2 – However, it is a cheaper method of advertising but may not bring in the clientele that *Loaf* would want to purchase its goods.	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 6 of 14 · Question 2 part e · 3 marks

2020 NOV · Paper 01 (regional R) · extract 4 of 5 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 6 of 14 · Question 2 part e · 3 marks

2020 NOV · Paper 01 (regional R) · extract 5 of 5 · find part e in this mark scheme extract

Question Number	Answer	Mark

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 7 of 14 · Question 3 part b · 2 marks

2022 JUN · Paper 01 (regional R) · extract 1 of 4 · find part b in this mark scheme extract

3 (a)	**A01 - 1 mark** Award 1 mark for a correct definition of non-current assets. • An investment owned for longer than a year **(1)**	**(1)**

Question Number	Outline **one** disadvantage to *Can Culleretes* of increasing the amount of inventory it holds. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying a disadvantage to *Can Culleretes* of increasing the amount of inventory it holds, plus 1 further mark for linking it to the context of *Can Culleretes*. • Holding a large inventory of meat and vegetables can lead to waste if it is not used in the kitchen **(1)** the food can go off and this will increase costs **(1)** **NB** Do not accept a method that is not in the context of *Can Culleretes*. **Accept any other appropriate response.**	**(2)**

Question Number	Calculate the gross profit margin. **Answer**	**Additional guidance**	**Mark**
3 (c)	**A02 - 2 marks** 4 500 ÷ 19 220 x 100 **(1)** = 23.41 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 7 of 14 · Question 3 part b · 2 marks

2022 JUN · Paper 01 (regional R) · extract 2 of 4 · find part b in this mark scheme extract

Question Number	Analyse the impact of customers using social media to review *Can Culleretes*. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • It can increase the number of reviews of its meals and services • Negative reviews of the food served could be left for the restaurant **AO3** • This could lead to tourists considering *Can Culleretes* over its competitors after reading the reviews when visiting the city • This could lead to tourists going elsewhere as they may then doubt the positive reviews *Can Culleretes* has received	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 7 of 14 · Question 3 part b · 2 marks

2022 JUN · Paper 01 (regional R) · extract 3 of 4 · find part b in this mark scheme extract

Question Number	*Can Cullerets* is considering two options: **Option 1:** offer the new chef with a permanent contract **Option 2:** offer the new chef a temporary contract. Justify which **one** of these two options *Can Cullerets* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • **Option 1** – By offering a permanent contract the chef will be more committed to the restaurant long term. • **Option 2** – By offering a temporary contract they can wait to see if the desserts are popular or not before hiring on a permanent basis. **AO3** • **Option 1** – This may increase the levels of motivation of the chef leading to the high-quality production of the desserts. • **Option 2** – Therefore if the new desserts are not popular they are not committed to keeping the chef. **AO4** • **Option 1** – However, as *Can Cullerets* is a family run business they may be cautious of having someone come into the business on a permanent basis especially if the new desserts do not meet customer expectations. • **Option 2** – However, a skilled dessert chef may not like the uncertainty of a temporary contract and may choose to work elsewhere.	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 7 of 14 · Question 3 part b · 2 marks

2022 JUN · Paper 01 (regional R) · extract 4 of 4 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Question Number	Calculate the total cost of a group of 12 people ordering from the fixed price menu. **Answer**	**Additional guidance**	**Mark**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part e in this mark scheme extract

2 (a)	A02 - 1 mark Award 1 mark for a valid item that could be included in a Curriculum Vitae in the context of the business. • Previous experience of health and safety legislation from working in food factories **(1)** • Previous employers as referees confirming that they have appropriate food experience **(1)** NB Do not accept an item that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Question Number	State **one** item of information that may appear in a job description for a *Cadbury* Production Line Supervisor. Answer	Mark
2 (b)	A02 - 1 mark Award 1 mark for a valid item of information that may appear in a job description for a Production Line Supervisor in the context of the business. • Experience of supervising employees making chocolate on a production line **(1)** • Experience of supervising employees in a *Mondelez* production facility **(1)** NB Do not accept an item that is not in the context of *Cadbury*. **Accept any other appropriate response.**	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** method a business could use to motivate its employees. **Answer**	**Mark**
2 (c)	**A01 - 3 marks** Award 1 mark for a method a business could use to motivate its employees, plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Giving its employees fringe benefits **(1)** such as discounts off products produced **(1)** makes them feel that their work is valued **(1)** • Bonus payments given to employees **(1)** as an individual or teams **(1)** when they have met certain targets **(1)** **NB** No marks are awarded for a definition. Answers that list three methods why a business could use to motivate its employees, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why a business has fully trained employees. **Answer**	**Mark**
2 (d)	**A01 - 3 marks** Award 1 mark for a reason why businesses ensure that its employees are fully trained, plus 2 further marks for explaining this reason, for a maximum of 3 marks. • Training is important as it increases the skills and knowledge of the employee **(1)** so that they can perform their job more effectively **(1)** thereby increasing productivity **(1)** • The training keeps employees up-to-date **(1)** with any new technology/machines **(1)** so that they can maximise the amount they can produce per hour **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons why businesses ensure that its employees are fully trained, with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** reason why many manufacturing businesses use Kaizen in their factories. Answer	Mark
2 (e)	**A01 - 3 marks** Award 1 mark for identification why businesses use Kaizen in manufacturing plus 2 further marks for explaining why, for a maximum of 3 marks. • Kaizen means employees are involved in the process of improvement **(1)** and suggest ways in the manufacturing process **(1)** that could lead to improved product quality **(1)** • Kaizen helps to reduce waste **(1)** as employees understand how to operate the machinery more effectively **(1)** resulting in lower overall costs for the business **(1)** **NB** No marks are awarded for a definition. Answers that list three reasons of why businesses use Kaizen in manufacturing with no explanation will get 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Question Number	**Option 1:** allowing employees to work part-time **Option 2:** allowing employees to job share. **Indicative content**	**Mark**
2 (f)	**AO2 = 3 marks AO3 = 3 marks AO4 = 3 marks** **AO2** • **Option 1** – By offering part-time working *Cadbury* can provide flexibility for their employees • **Option 2** – If one employee in the job share is absent through illness then the other members may be able to take the place in the design of chocolate wrappers **AO3** • **Option 1** – *Cadbury* can use the flexibility of part-time staff to meet increased seasonal demands such as Christmas • **Option 2** – Job sharing benefits *Cadbury* as it provides the ideas and enthusiasm of two people rather than one **AO4** • **Option 1** – However, it may increase employment costs because of legal benefits that have to be offered to part-time employees • **Option 2** – However, the two people job sharing will have to work as a team and liaise effectively	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3). • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made (AO4).
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3). • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made (AO4).
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3). • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made (AO4).

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 8 of 14 · Question 2 part e · 3 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Define the term **public relations.** Answer	Mark

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 1 of 7 · find part f in this mark scheme extract

1 (a) (i)	**AO1 - 1 mark** The only correct answer is **C** Survival **A** - is incorrect as challenge is a non-financial objective **B** - is incorrect as social objectives is a non-financial objective **D** - is incorrect as personal satisfaction is a non-financial objective	**(1)**

Question Number	Which **one** of the following is an advantage to a business of using venture capital? **Answer**	**Mark**
1 (a)(ii)	**AO1 - 1 mark** The only correct answer is **D** It can receive expert advice **A** - is incorrect as venture capital increases access to other sources of finance **B** - is incorrect as venture capital does not keep ownership within the business **C** - is incorrect as public relations is not affected by venture capital	**(1)**

Question Number	Which **one** of the following would be the cost to *IKEA* for 1,000 loads in Swedish Krona? **Answer**	**Mark**
1 (a) (iii)	**AO2 - 1 mark** The only correct answer is **D** 129 955.00 SEK **A** - is incorrect 1 000 ÷ 6.58 = 151.98 SEK **B** – is incorrect 19.75 x 1 000 ÷ 6.58 = 3 001.52 SEK **C** - is incorrect 19.75 x 1 000 = 19 750 SEK	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 2 of 7 · find part f in this mark scheme extract

Question Number	Which **one** of the following is the correct markup? **Answer**	Mark
1 (a)(iv)	**AO1 - 1 mark** The only correct answer is **C** 15.79**%** **A** is incorrect because 4 400 ÷ 3 800 = 1.16% **B** is incorrect because 4 400 – 3 800 = 600 ÷ 4 400 x 100 = 13.64% **D** is incorrect because 4 400 ÷ 3 800 x 100 = 115.79%	**(1)**

Question Number	Which **one** of the following is Phase 3 of the product life cycle? **Answer**	Mark
1 (a) (v)	**AO2 - 1 mark** The only correct answer is **D** Maturity **A** is incorrect because phase 4 is decline **B** is incorrect because phase 2 is growth **C** is incorrect because phase 1 is introduction	**(1)**

Question Number	Which **one** of the following are equal in a break-even graph? **Answer**	Mark
1 (a)(vi)	**AO1 - 1 mark** The only correct answer is **D** Total costs and revenue **A** is incorrect because fixed and variable costs do not indicate the revenue **B** is incorrect because fixed costs and revenue do not take into account variable costs **C** is incorrect because total costs and fixed costs do not take into account revenue	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 3 of 7 · find part f in this mark scheme extract

Question Number	Define the term **person specification.** **Answer**	Mark
1 (b)	**AO1 - 1 mark** Award 1 mark for a correct definition of **person specification.** • Details of the qualifications, experience in the person appointed **(1)**	**(1)**

Question Number	Define the term **quality control.** **Answer**	Mark
1 (c)	**AO1 - 1 mark** Award 1 mark for a correct definition of **quality control.** • A product or service that meets the standard set by the business **(1)**	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 4 of 7 · find part f in this mark scheme extract

Question Number	State **one** reason why *IKEA* provides induction training for new employees. **Answer**	Mark
1 (d)	**A02 - 1 mark** Award 1 mark for a valid reason of why *IKEA* provides induction training for new employees in the context of the business. • New employees are made familiar with the furniture they will be selling in their own *IKEA* stores **(1)** • Staff will know how to show customers how the flat packs for sale are assembled **(1)** **NB** Do not accept a reason that is not in the context of *IKEA.* **Accept any other appropriate response.**	**(1)**

Question Number	Calculate to 2 decimal places the gross profit margin for 2020. **Answer**	Additional guidance	Mark
1 (e)	**A02 - 2 marks** 11 725/37 368 x 100 **(1)** = 31.38 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 5 of 7 · find part f in this mark scheme extract

Question Number	Explain **one** reason why businesses want to use resources effectively in manufacturing. **Answer**	Mark
1 (f)	**A01 - 3 marks** Award 1 mark for a reason why businesses want to use resources effectively plus 2 further marks for explaining the reason, for a maximum of 3 marks. • Being effective in the use of resources reduces waste **(1)** this could decrease the amount of inventory held **(1)** thus lowering the expenses of the business **(1)** • If a business uses fewer machines to manufacture goods **(1)** this will make the business more efficient **(1)** allowing for greater productivity **(1)** **NB** No marks are awarded for a definition. Answers that list two reasons with no explanation will gain 1 mark only. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 6 of 7 · find part f in this mark scheme extract

Question Number	Analyse the benefits to *IKEA* of all its stores being franchises. **Indicative content**	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • Franchises allow *IKEA* to sell its flat pack products of tables and wardrobes throughout the world • All franchisees pay a percentage of their profit to *IKEA* for the use of its name and furniture **AO3** • *IKEA* benefits because it has many retail stores selling furniture, creating wealth for the business • This allows *IKEA* to gain revenue from every franchised store making it more successful	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 9 of 14 · Question 1 part f · 3 marks

2023 JUN · Paper 02 · extract 7 of 7 · find part f in this mark scheme extract

Question Number	State **one** reason why *IKEA* would employ temporary staff. **Answer**	**Mark**

1 (a) (i)	**AO1 = 1 mark** **C** – Tertiary	**(1)**

Question Number	Answer	Mark
1 (a)(ii)	**AO1 = 1 mark** **A** – Rent	**(1)**

Question Number	Answer	Mark
1 (a) (iii)	We are aware that there is no correct answer to this item. Because of this, all candidates will be awarded 1 mark for this question 1 (a) (iii). An error was made with the multiple-choice distractors. We take our responsibility of ensuring the accuracy of our assessments very seriously and we are reviewing candidate responses to ensure no one is disadvantaged.	**(1)**

Question Number	Answer	Mark
1 (a)(iv)	**AO2 = 1 mark** **D** – Could charge lower prices	**(1)**

Question Number	Answer	Mark
1 (a) (v)	**AO1 = 1 mark** **B** – Reinvested profit	**(1)**

Question Number	Answer	Mark
1 (a)(vi)	**AO2 = 1 mark** **A** – 4.03%	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 10 of 14 · Question 1 part g · 6 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
1 (b)	**AO1 = 1 mark** Award 1 mark for correct definition of crowdfunding. • Raising money from many people for a new project via the internet **(1).**	**(1)**

Question Number	Answer	Mark
1 (c)	**AO1 = 1 mark** Award 1 mark for correct definition of branding. • A name/symbol/design that identifies and differentiates a product from other products **(1).**	**(1)**

Question Number	Answer	Mark
1 (d)	**AO2 = 1 mark** Award 1 mark for a correct example of a diseconomy of scale in the context of the business. • Communication between *Yellow*'s clothing factory and the retail shops could become difficult in different countries **(1).** Accept any other appropriate response.	**(1)**

Question Number	Answer	Additional guidance	Mark

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 10 of 14 · Question 1 part g · 6 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

1 (e)	**AO2 = 2 mark** 252 x .17 **(1)** = 42.84 252 + 42.84 = 294.84 **(1)** **OR** 252 x 1.17 **(1)** = 294.84 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**
Question Number	**Answer**		**Mark**
1 (f)	**AO1 = 3 marks** Award 1 mark for identification of an advantage of a business having loyal customers, plus 2 further marks for explaining this advantage for a maximum of 3 marks. • An advantage will be repeat custom **(1)** if customers are loyal they will only shop at that business **(1)** which could increase market share/revenue **(1).** Answers that list three advantages with no explanation will get a maximum of 1 mark. Accept any other appropriate response.		**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 10 of 14 · Question 1 part g · 6 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
1 (g)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • The quality of the T-shirts will be better. • Reduction in costs of making the T-shirts. **AO3** • *Yellow*'s reputation will be enhanced leading to higher sales. • There will be fewer returns of T-shirts, which could lead to increased profitability for the manufacturer.	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context (AO2). • Attempts to deconstruct business information and/or issues, finding limited connections between points (AO3).
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies (AO2). • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies (AO3).
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (AO2). • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning (AO3).

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 10 of 14 · Question 1 part g · 6 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 11 of 14 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 1 of 6 · find part b in this mark scheme extract

	Answer		
4 (a)	**A02 - 2 marks** 34 000 x 0.02 = 680 **(1)** 680 x 12 = 8 160 **(1)**	Award 1 mark for correctly substituting numbers into formula. Award full marks for correct numerical answer without working.	**(2)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 11 of 14 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 2 of 6 · find part b in this mark scheme extract

Question Number	Analyse how this could affect its business. **Indicative content**	Mark
4 (b)	**AO2 – 3 marks AO3 – 3 marks** **AO2** • Employees in the clothing workshop will be able to discuss different manufacturing techniques/designs for the jumpers • A major advantage of Kaizen is efficiency. Kaizen may help to improve the quality of children's clothing. **AO3** • This helps create innovative ideas for *AWG* which will help them to stand out from other competitors selling clothing • This may result in attracting more customers who are seeking sustainable and long-lasting items of clothing.	**(6)**

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3)
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3)
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 11 of 14 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Evaluate the impact on *AWG* of having these social objectives when planning to grow the business. You should use the information provided as well as your own knowledge of business. **Indicative content**	Mark
4 (c)	**AO1 = 3 marks AO2 = 3 marks** **AO3 = 3 marks AO4 = 3 marks** **AO1** • Social objectives aim to benefit society • Social objectives focus on ethical factors other than profit **AO2** • *AWG* encourage families to re-use clothing made from natural materials and reduce waste in society • In the workshops at *AWG* waste is kept to a minimum and spare material is used to make hats and scarves **AO3** • This may enable *AWG* to meet the needs and wants of customers who care about the environment and are seeking a sustainable range of clothing • Minimising waste may enable *AWG* to reduce its costs and pass on the cost savings to its customers to encourage more sales **AO4** • However, it may be more costly to use natural material which may result in a high price for the jumpers and dresses. This may discourage some people from buying the clothes resulting in slow growth for the business • However, many people in society may not be concerned about social objectives and the environment. They may be more concerned about current fashion which may lead to a decrease in sales revenue for *AWG*.	**(12)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 11 of 14 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 4 of 6 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-4	• Demonstrates elements of knowledge and understanding of business concepts and issues, with limited business terminology used. (AO1) • Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	5 - 8	• Demonstrates mostly accurate knowledge and understanding of business concepts and issues including appropriate use of business terminology in places. (AO1) • Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 11 of 14 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 5 of 6 · find part b in this mark scheme extract

Level 3	9 - 12	• Demonstrates accurate knowledge and understanding of business concepts and issues throughout, including appropriate use of business terminology. (AO1) • Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 11 of 14 · Question 4 part b · 6 marks

2023 NOV · Paper 01 · extract 6 of 6 · find part b in this mark scheme extract

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 12 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 1 of 5 · find part d in this mark scheme extract

3 (a)	**AO1 - 1 mark** Award 1 mark for a correct definition of **just-in-time (JIT)**. • Produces goods/receives inventory when needed reducing the need to hold inventory	**(1)**

Q. No.	Outline **one** reason why *Rabanne* uses different methods to advertise job vacancies. **Answer**	**Mark**
3 (b)	**A02 - 2 marks** Award 1 mark for identifying one reason why *Rabanne* uses different methods to advertise job vacancies plus 1 further mark for linking it to the context of the business. • *Rabanne* could advertise to a larger audience **(1)** giving them access to a wider pool of skills designers/dress makers **(1)** **NB** Do not accept a reason that is not in the context of *Rabanne*. **Accept any other appropriate response.**	**(2)**

Q. No.	Calculate to **two** decimal places, the percentage decrease in current assets. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**A02 - 2 marks** = 30.20 **(2)** **OR** 5 952 – 8 527 = -2 575 **(1)** -2 527/8 527 x 100 **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 12 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

Q. No.	Analyse the importance for *Rabanne* of using its resources effectively. **Indicative content**	Mark
3 (d)	**AO2 = 3 marks AO3 = 3 marks** **AO2** • By *Rabanne* using its resources effectively by not wasting packaging material for its handbags/accessories • By *Rabanna* developing higher quality packaging for its fragrances/perfumes **AO3** • It not only saves them money but also makes them more environmentally friendly • Would reduce the number of damaged bottles of fragrances that need to be replaced , thus reducing costs	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2)** • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 12 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Q. No.	**Option 1:** increasing the number of product trials **Option 2:** increasing advertising. Justify which **one** of these two options *Rabanne* should choose. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – *Rabanne* introduces a variety of aftershaves for men to test and state their opinions • **Option 2** – Increasing the advertising of a new perfume for women means it could reach a much wider customer base throughout the world **AO3** • **Option 1** – Amendments can be made to the product before going into full production • **Option 2** – This could encourage more women to buy the perfume **AO4** • **Option 1** – However, because product trials are based in a limited location, the results may not be representative of all locations in all countries • **Option 2** – However, if they cannot find the perfume in a shop, then they will not be able to purchase it	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 12 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 12 of 14 · Question 3 part d · 6 marks

2025 JUN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the commission a sales assistant would earn if they have sold goods valued at £850. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 13 of 14 · Question 2 part f · 9 marks

2020 NOV · Paper 02 (regional R) · extract 1 of 6 · find part f in this mark scheme extract

2 (a)	**A02 = 1 mark** Award 1 mark for a valid function of human resources in the context of the business. • To recruit and select skilled employees to manufacture hockey sticks at *HRMW*'s factory (1). **Accept any other appropriate response.**	**(1)**

Question Number	Answer	Mark
2 (b)	**A02 = 1 mark** Award 1 mark for a valid reason for carrying out market research in the context of the business. • *HRMW* can collect information relating to sports products it sells or intends to sell (1). **Accept any other appropriate response.**	**(1)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 13 of 14 · Question 2 part f · 9 marks

2020 NOV · Paper 02 (regional R) · extract 2 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (c)	**A01 = 3 marks** Award 1 mark for identification of a benefit for using penetration pricing, plus 2 further marks for explaining why penetration pricing is beneficial for a business, for a maximum of 3 marks. • By using this method, the business puts its prices lower than other businesses (1). It does this in order to get established in the market (1). Once customers are buying the product the price may increase (1). NB Answers that list three benefits with no explanation will get a maximum of 1 mark. **Accept any other appropriate response.**	**(3)**

Question Number	Answer	Mark
2 (d)	**A01 = 3 marks** Award 1 mark for a benefit to using the internet for secondary market research, plus 2 further marks for explaining this benefit, for a maximum of 3 marks. • Using the internet for secondary research enables businesses to access a large volume of data (1). This means that businesses do not have to go out and collect the data themselves, as they find it on the internet (1). This is a much cheaper and quicker way of collecting the required information as someone else has already done it (1). Answers that list three benefits with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 13 of 14 · Question 2 part f · 9 marks

2020 NOV · Paper 02 (regional R) · extract 3 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark
2 (e)	**A01 = 3 marks** Award 1 mark for the identification of a benefit of introducing new products, plus 2 further marks for explaining that benefit, for a maximum of 3 marks. • A business introduces new products to keep customers interested in the business and the products it sells (1). The business can replace an old product with a new one (1) in order to keep up with trends in the market (1). Answers that list three benefits of introducing new products with no explanation will get a maximum of 1 mark. NB No marks are awarded for a definition. **Accept any other appropriate response.**	**(3)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 13 of 14 · Question 2 part f · 9 marks

2020 NOV · Paper 02 (regional R) · extract 4 of 6 · find part f in this mark scheme extract

Question Number	Indicative content	Mark
2 (f)	**AO2 = 3 marks AO3 = 3 marks** **AO4 = 3 marks** **AO2** • Option 1 – By using this method the employees are involved in the process of improving the production of the sports products they manufacture. • Option 2 – With JIT (just-in-time) employees do not waste time waiting for materials to arrive such as leather used to make footballs. **AO3** • Option 1 – The employees know 'first-hand' where improvements in the production of sports products could be made. • Option 2 – This saves *HRMW* from having to have space to store the materials from which it makes sporting products, and this saves costs. **AO4** • Option 1 – However, there is no guarantee that the employees are willing to help improve the production of sports products thereby, saving the business money. • Option 2 – However, JIT can only work provided employees making footballs work at the same rate and that the supplier delivers the leather on time.	**(9)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 13 of 14 · Question 2 part f · 9 marks

2020 NOV · Paper 02 (regional R) · extract 5 of 6 · find part f in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 13 of 14 · Question 2 part f · 9 marks

2020 NOV · Paper 02 (regional R) · extract 6 of 6 · find part f in this mark scheme extract

Question Number	Answer	Mark

3 (a)	**AO1 – 1 mark** Award 1 mark for a correct definition of **exporter.** • A business/individual that sells products/services to another country	**(1)**

Q. No.	Outline **one** advantage to *Samsung* of using flow production when manufacturing its products. **Answer**	Mark
3 (b)	**AO2 – 2 marks** Award 2 marks for linked points outlining an advantage to *Samsung* of using flow production when manufacturing its products. Award a maximum of 1 mark if points are not linked. • *Samsung* can produce a large number of smartphones on its production lines **(1)** allowing *Samsung* to lower its unit costs **(1)** **NB** To award 2 marks there must be linked points **and** evidence of application. **Accept any other appropriate response.**	**(2)**

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 14 of 14 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Q. No.	Calculate the selling price of the laptop. You are advised to show your workings. **Answer**	**Additional Guidance**	**Mark**
3 (c)	**AO2 – 2 marks** Award 2 marks for the correct answer 650 000 KRW **(2)** **OR** award 1 mark for workings if final answer is incorrect 520 000 x 25% = 130 000 KRW **(1)**	Award full marks for correct answer with no working. Award 1 mark for correctly substituting numbers into formula.	**(2)**

Q. No.	Analyse why profit is important to *Samsung*. **Indicative content**	**Mark**
3 (d)	**AO2 = 3 marks** **AO3 = 3 marks** **AO2** • *Samsung* invests large amount of funding to design and develop innovative electronic products such as smartphones • *Samsung* is a public limited company and is currently the leading manufacturer of TV's **AO3** • High levels of profit will allow *Samsung* to reinvest its profits into new technology to compete in the market • High levels of profit may attract further funds from investors who may be enticed by the possibility of high returns on their investments	**(6)**

Type MS · Lean production: JIT, Kaizen and using resources well

Answer 14 of 14 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1-2	• Limited application of knowledge and understanding of business concepts and issues to the business context **(AO2)** • Attempts to deconstruct business information and/or issues, finding limited connections between points **(AO3)**
Level 2	3-4	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies **(AO2)** • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies **(AO3)**
Level 3	5-6	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout (**AO2**) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning **(AO3)**

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 14 of 14 · Question 3 part e · 9 marks

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Q. No.	**Option 1:** Just in time (JIT) **Option 2:** Kaizen **(e)** Justify which **one** of these two options *Samsung* should choose to minimise costs. **Indicative content**	Mark
3 (e)	**AO2 = 3 marks, AO3 = 3 marks, AO4 = 3 marks** **AO2** • **Option 1** – JIT will allow *Samsung* to receive delivery of electronic parts for its manufacture of laptops as required on the assembly line • **Option 2** – Kaizen will encourage a culture of continuous improvement to may help *Samsung* reduce waste when manufacturing its laptops and TV's **AO3** • **Option 1** – JIT will reduce the storage costs of its electronic parts if supplies are delivered only when required rather than having to store them in a warehouse • **Option 2** – Reduced waste in the factory will help keep costs of laptops low which will help them compete with businesses such as *Apple* **AO4** • **Option 1** – However, if suppliers deliver in smaller batches this may increase the delivery cost of materials which will increase the total cost of production • **Option 2** – However, introducing Kaizen will take time and require training of employees which may increase costs for *Samsung* in the short term	**(9)**

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 14 of 14 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No Rewardable material.
Level 1	1-3	• Limited application of knowledge and understanding of business concepts and issues to the business context. (AO2) • Attempts to deconstruct business information and/or issues, finding limited connections between points. (AO3) • Makes a judgement, providing a simple justification based on limited evaluation of business information and issues relevant to the choice made. (AO4)
Level 2	4-6	• Sound application of knowledge and understanding of business concepts and issues to the business context although there may be some inconsistencies. (AO2) • Deconstructs business information and/or issues, finding interconnected points with chains of reasoning, although there may be some logical inconsistencies. (AO3) • Makes a judgement, providing a justification based on sound evaluation of business information and issues relevant to the choice made. (AO4)
Level 3	7 - 9	• Detailed application of knowledge and understanding of business concepts and issues to the business context throughout. (AO2) • Deconstructs business information and/or issues, finding detailed interconnected points with logical chains of reasoning. (AO3) • Makes a judgement, providing a clear justification based on a thorough evaluation of business information and issues relevant to the choice made. (AO4)

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Type MS · Lean production: JIT, Kaizen and using resources well

Answer 14 of 14 · Question 3 part e · 9 marks

2025 NOV · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Q. No.	Calculate, to **two** decimal places, the operating profit margin You are advised to show your workings. **Answer**	Additional Guidance	Mark